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DIGITAL PRODUCTS FOR INDIA

The Indian Salon & Beauty Business Playbook

2026-27 Edition

Start, run and grow a profitable salon, parlour or home beauty studio

Market and money, licences and schemes, pricing and packages, hiring and training, marketing and retention, seasons and growth.

A complete, India-specific operating manual

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PART 1

The Opportunity

1. Why the Indian salon and beauty business is a smart bet in 2026-27

India's beauty and grooming habit has moved from an occasional treat to a monthly routine. That single shift is why a well-run neighbourhood salon is one of the most durable small businesses you can start in this country. The money is real, the demand repeats every four to six weeks, and the cost of goods stays low enough that a disciplined owner can keep a healthy share of every bill.

The market numbers back this up. India's beauty salon market was valued at roughly Rs 1,01,949 crore (about US$11.65 billion) in 2024 and is projected to reach about Rs 2,01,185 crore (US$22.99 billion) by 2033, growing at around 7.85% a year. Independent research on hairdressing and beauty treatment put India's turnover at about US$21.1 billion in 2024, spread across more than 40 lakh businesses, with household spending driving over 95% of demand.

The structure of the market is your opportunity

The most important fact for a new owner is not the headline size of the market. It is how fragmented it is. Industry estimates place the number of beauty salons in India at roughly 3.3 lakh verified listings, with broader counts of salons, parlours and home-based beauticians running into the tens of lakhs. Roughly seven in ten operate informally, with no billing system, no client records and no proper pricing. That is where a professionally run salon wins: not by being cheaper, but by being reliable.

Salaried and organised players account for only about a quarter of the sector's revenue even though they employ a large share of the roughly one crore people who work in beauty and wellness across India. The gap between the informal majority and the organised minority is exactly the space a first-time owner can occupy in a single neighbourhood.

Three tailwinds are pushing demand up right now

- Tier-2 and tier-3 cities are the fastest-growing part of the market. Rising disposable income and aspiration mean that a town that had two salons five years ago can now support a dozen, and many of the new ones are run by women who trained through government-backed beauty programmes.
- Festive and wedding demand is intense and repeatable. In the run-up to Diwali and the wedding season, salons routinely double their festive service prices because demand outruns capacity. A salon that plans for these windows earns a large share of its annual profit in a few weeks.
- The tax burden on services has fallen. From 22 September 2025, GST on salon, barber, spa and grooming services dropped from 18% to 5% (without input tax credit). A lower headline price lifts footfall for neighbourhood salons and independent operators.

What this playbook is, and what it is not

This is a practical, India-specific operating manual for someone who wants to start or grow a salon, parlour or home beauty studio and actually make money at it. It covers the money, the licences, the schemes that can fund you, the pricing, the hiring, the marketing and the season planning. It is not a franchise brochure and it does not promise guaranteed returns. Every business depends on location, effort and discipline. The ranges in this book are indicative market figures, not guarantees, and you should always confirm current rules with the relevant authority or a professional before you act.

> *The single most useful decision you will make is not your decor or your brand name. It is choosing the right format and the right catchment for the money you can afford to risk. Everything else in this book flows from that.*

2. Choose your format before you spend a rupee

Most salons that fail were over-built from day one: too much square footage, too much interior, not enough working capital. Choosing your format first keeps your capital aligned with the demand you can realistically serve. There are five sensible formats, and each has a different capital requirement and a different path to profit.

Format	Indicative setup cost	Best for	Main risk
Home studio	Rs 1.5 to 3 lakh	One operator with a trained skill and a spare room	Limited walk-in footfall; growth capped by space
Rented chair	Rs 30,000 to 1 lakh	A stylist with an existing client following	You depend on the host salon's rules and rent
Small neighbourhood parlour	Rs 5 to 9 lakh	Two to three staff, 250 to 400 sq ft	Rent eats margin if footfall does not follow
Studio unisex salon	Rs 15 to 30 lakh	Six chairs, 600 to 800 sq ft, mixed services	Highest fit-out cost; needs steady management
Premium full-format outlet	Rs 25 lakh and above	Experienced operator with a manager in place	Large fixed costs demand consistent occupancy

Start smaller than your ambition

If you are a first-time owner, the home studio and the small neighbourhood parlour are the two formats that let you learn the business without betting everything. A home studio in 100 to 200 square feet, with no rent, a single operator and six to ten customers a day, can be run for Rs 1.5 to 3 lakh. It teaches you pricing, retention and cash control at low risk, and it builds the client book you will later transplant into a commercial space.

The small commercial parlour, at Rs 5 to 9 lakh for 250 to 400 square feet with two to three chairs, is the format with the best balance of cost and earning power for most new owners. It typically earns Rs 1.5 to 3 lakh a month in revenue at a 20 to 30% net margin once it is established. The studio unisex salon earns more per month but also carries far higher fixed costs, so it rewards an owner who already knows how to fill chairs.

Independent or franchise

Below about Rs 5 lakh of investment, go independent. A franchise fee takes too large a bite out of a small budget. Above roughly Rs 15 lakh, a franchise can make sense: brand pull lowers your customer-acquisition cost, central vendor rates can cut equipment and product prices by 15 to 25%, and the brand's training and replacement pipeline solves the single biggest operating risk in this business, which is losing your staff and your client book with them. The trade-off is that you follow someone else's pricing, products and look. Decide on the basis of your capital and your appetite for control, not on the shine of the brand.

Rule of thumb: keep rent under 12% of your realistic monthly revenue target. If the rent on a space would need more than that, the space is too big or the location is too expensive for the stage you are at.

3. Know your catchment: the 2 km rule

A salon is a two-kilometre business. Your customers are almost entirely the households, offices, hostels and apartments within a short walk or ride of your door. The most common and most expensive mistake a new owner makes is falling in love with a high-street address that has plenty of traffic but no residents who will return every four to six weeks. Footfall that does not convert into regulars is just noise.

Count the catchment before you sign anything

Before you commit to a lease, spend a week doing three counts. First, count the households and offices within a two-kilometre radius and estimate how many working women, homemakers, students and men with a grooming habit live or work there. Second, stand on the exact street and count evening and weekend footfall at the times you would be open, not at the times that suit you. Third, map every competing salon inside that circle and note what they charge and where they are weak.

A B-grade location with an underserved catchment will almost always beat an A-grade high street with six established competitors. If a locality has three good salons and 3,000 households, the fourth salon competes on price. If it has one tired salon and the same 3,000 households, the second salon competes on quality, and quality is a far more profitable thing to compete on.

Read the rent against the target

Once you have a revenue target, test the rent against it. If you believe a location can realistically do Rs 2 lakh a month, rent should stay under about Rs 24,000. If it can only do Rs 1 lakh, rent must stay under about Rs 12,000. Many owners work this backwards: they pick the space they like, then hope the revenue follows. It rarely does. Check local zoning rules too, and confirm that commercial activity is permitted on the premises before you sign.

- Visibility matters more than size. A 300 sq ft shop on a visible corner beats a 600 sq ft shop in a lane nobody walks down.
- Ground floor with parking or easy two-wheeler access is worth a small premium in most Indian localities.
- Check water supply, power load and drainage before you sign. A salon uses far more water and power than a home, and an upgrade you did not budget for can cost lakhs.
- Read the lease for lock-in, notice period, escalation and who pays for repairs. A five-year lease with a 10% annual escalation is common; a two-year lock-in protects you while you build the client book.

A catchment scorecard you can fill in

Print this and take it with you when you shortlist locations. A space that fails two or more of these tests is not worth the deposit, however much you like it.

What to count	Target to aim for
Households and offices within 2 km	2,000 or more
Competing salons within 2 km	Fewer than one per 1,000 households
Evening and weekend footfall on the exact street	Steady through the day, not only a morning rush
Rent as a share of realistic monthly revenue	Under 12%
Visibility from the main road	Direct line of sight, or a clear signboard spot
Water supply, power load and drainage	Adequate for a salon, with no upgrade needed

Walk the street at 7 pm on a Saturday and again at 11 am on a Tuesday. The two visits tell you more about a location than any broker will.

PART 2

Legal, Money and Schemes

4. Register your salon the right way

Registration in India is simpler and cheaper than most first-time owners fear, and doing it properly unlocks bank credit, government subsidies and the trust of vendors who will only deal with registered businesses. The list below is the standard set for a salon. State and municipal rules vary, so treat this as the map, not the final word, and confirm the specifics with your local authority.

Choose a structure

A sole proprietorship is the simplest and cheapest structure and is right for most single-owner salons. You register for GST and Udyam in your own name, and you file one set of returns. If you are bringing in a partner, a Limited Liability Partnership (LLP) separates the business's liabilities from your personal assets, which matters once you employ staff and sign a lease. A private limited company is only worth the extra compliance if you plan to raise outside money or open multiple outlets with investors.

The registrations you will need

Registration	What it is for	When it applies
Udyam (MSME)	Free MSME registration; unlocks priority-sector lending, GeM and delayed-payment protection	Register from day one; mandatory for PMEGP units
GST	Tax registration for your services and retail sales	Compulsory above Rs 20 lakh turnover (Rs 10 lakh in special-category states)
Shops and Establishments	State labour registration for the premises and staff	Required for a commercial shop; state-specific
Municipal trade licence	Local permission to run a business at the address	Required in most cities; apply to the municipal body
Professional tax	State tax on you and your staff	Once you employ staff; state-specific
Fire NOC	Fire-safety clearance	Larger premises and some buildings; check local rules

GST on salon services: the 5% rule

Since 22 September 2025, beauty and physical well-being services, including salons, barbers, spas, cosmetic treatment and grooming, attract 5% GST without input tax credit. The Central Board of Indirect Taxes and Customs has clarified that this 5% rate is mandatory: you do not have the option to charge 18% with credit instead. The relevant service codes are SAC 999721 for hairdressing and barber services, 999722 for cosmetic and beauty treatment such as manicure, pedicure and make-up, and 999729 for spa and wellness.

The trade-off matters for your pricing. You can no longer claim input tax credit on the shampoo, colour, wax, creams, disposables and equipment you buy for those services, so that GST becomes an embedded cost you must price into your rate card. Retail cosmetics you resell are treated separately: make-up, nail polish and perfume stay at 18% and keep their credit, while shampoo, soap, toothpaste and hair oil are at 5%. Invoice retail sales on a separate line from your services.

Registration thresholds and the composition option

You must register for GST once your aggregate turnover crosses Rs 20 lakh a year in most states, or Rs 10 lakh in special-category states. If you supply through an e-commerce operator, registration is compulsory regardless of turnover. Below the threshold you must not charge GST. Small service providers with turnover up to Rs 50 lakh can instead opt for the composition scheme for services and pay a combined 6% (3% central plus 3% state) from their own pocket, with no GST shown on the bill and no input credit. A composition dealer must display that they are a composition taxpayer and cannot collect tax from customers.

Small salons often cross Rs 20 lakh sooner than they expect once bridal packages and festive weeks are added up. Track your cumulative turnover monthly from the first day of the financial year so you register on time rather than after a notice arrives.

5. Fund your salon: schemes, loans and your own money

You do not need a large personal bank balance to start a salon. India has an unusually well-funded set of central schemes for exactly this kind of small service business, and a salon qualifies under most of them. The smart approach is to stack your own contribution with a subsidised loan and, where eligible, a margin-money subsidy. Here is how the main options work.

PMEGP: the biggest subsidy, for a new unit

The Prime Minister's Employment Generation Programme (PMEGP) is a credit-linked subsidy scheme for new micro-enterprises, implemented by the Khadi and Village Industries Commission. The maximum admissible project cost is Rs 50 lakh for a manufacturing unit and Rs 20 lakh for a service unit, and a salon is a service unit, so Rs 20 lakh is your ceiling. The margin-money subsidy is 15% of project cost in urban areas and 25% in rural areas for general-category applicants, rising to 25% urban and 35% rural for special categories that include SC, ST, OBC, minorities, women, transgender persons, ex-servicemen and differently abled applicants, plus notified regions.

Your own contribution is 10% of project cost for general category and 5% for special category, with the bank funding the rest. Projects up to Rs 10 lakh are free of collateral. The subsidy stays locked in for three years, and there is mandatory entrepreneurship training before the subsidy is released. You must register on Udyam before physical verification. Apply online at the PMEGP e-portal run by KVIC; you can also approach your district industries centre or a KVIC or KVIB office for help.

Mudra loans: fast, collateral-free, no subsidy

Pradhan Mantri MUDRA Yojana gives collateral-free institutional credit up to Rs 20 lakh through banks, small finance banks, NBFCs and microfinance institutions. The four categories are Shishu up to Rs 50,000, Kishore above Rs 50,000 and up to Rs 5 lakh, Tarun above Rs 5 lakh and up to Rs 10 lakh, and Tarun Plus from Rs 10 lakh up to Rs 20 lakh for those who have already repaid a Tarun loan. A home-based parlour usually fits a Shishu or Kishore loan, and a small commercial salon usually fits Kishore or Tarun. Mudra does not give a subsidy, but it is quick and needs no collateral, which makes it the natural first stop for a modest setup.

Stand-Up India: for women and SC or ST entrepreneurs

Stand-Up India facilitates composite loans between Rs 10 lakh and Rs 1 crore from scheduled commercial banks for at least one SC or ST borrower and one woman borrower per bank branch, for a greenfield enterprise. You must be above 18, not a defaulter, and it must be your first venture in the sector. Repayment runs up to seven years including a moratorium of up to 18 months, and you must bring in at least 10% of the project cost as your own contribution. If you are a woman starting your first salon and you need more than a Mudra loan, this is the scheme to ask your bank about.

PM Vishwakarma: for barbers and traditional trades

PM Vishwakarma supports artisans and craftspeople in eighteen notified trades, and barber is one of them. Benefits include a certificate and ID card, skill training with a stipend of Rs 500 per day, a toolkit incentive of up to Rs 15,000, and collateral-free Enterprise Development Loans of up to Rs 3 lakh in two tranches, Rs 1 lakh for 18 months and Rs 2 lakh for 30 months, at a fixed concessional interest rate of 5% with government interest subvention. Registration is free and happens through a Common Service Centre or the PM Vishwakarma portal. Only one member per family can register, and you cannot hold an outstanding Mudra or PMEGP loan at the same time.

The schemes at a glance

Scheme	Type	Amount	Best for
PMEGP	Subsidy plus loan	Project up to Rs 20 lakh (service unit)	A new unit that wants a margin-money subsidy
Mudra (PMMY)	Loan, no subsidy	Up to Rs 20 lakh, collateral-free	A quick, simple start without a subsidy
Stand-Up India	Composite loan	Rs 10 lakh to Rs 1 crore	Women and SC or ST first-time entrepreneurs
PM Vishwakarma	Training, toolkit and loan	Up to Rs 3 lakh at 5% interest	Barbers and notified traditional trades
CGTMSE-backed loan	Guaranteed bank loan	As sanctioned by the bank	Established owners needing growth capital

The Credit Guarantee route and your own money

If a scheme does not fit, a plain small-business loan backed by the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) lets banks lend to micro and small enterprises without collateral. Whatever you borrow, plan to fund the first four months of fixed costs from your own money, because the first two months of a new salon rarely cover their own salaries. Keep a personal buffer separate from the business; owners who drain their savings to open a salon often have to borrow at high interest in month three, exactly when a competitor opens a discount offer.

> *Do not take a subsidy you cannot service. A 35% margin-money subsidy still leaves you with a loan to repay. Run the monthly EMI through your break-even maths before you sign, not after.*

6. Pricing, packages and the money maths

Pricing is where small salons quietly lose money. They copy the shop next door, discount to win the first visit, and never rebuild the rate card. The fix is to understand your unit economics, then price for a contribution margin that survives your fixed costs and leaves a profit.

The one number that decides everything: contribution margin

Your contribution margin is what is left from each bill after the direct product cost of that service. In a salon, product cost is typically only 10 to 14% of revenue, so your contribution margin is usually 85% or more. That high margin is why salons can be profitable on modest revenue, and it is also why a permanent discount habit is so damaging: a 20% discount given on top of a 14% product cost leaves you a contribution of around 66%, and fixed costs do not shrink to match.

Item	Indicative figure	Note
Product cost	10 to 14% of revenue	Colour, wax, creams, disposables
Contribution margin	85% or more of revenue	What is left after product cost
Rent	Under 12% of revenue	The line that sinks over-sized salons
Staff cost	25 to 30% of revenue	The largest single expense
Marketing	Around 5% of revenue	Local SEO, Instagram, offers
Net margin (small parlour)	20 to 30%	Lower if fully staffed, higher if owner works a chair

Build a menu that does two jobs

A good rate card has two layers. The first is high-frequency, low-time services that bring people in often and build the habit: threading, clean-up, waxing, a basic cut. Price these sharply, because they are your footfall engine and they are what customers compare between salons. The second is high-ticket services that carry the margin: facials, hair colour, keratin and smoothening, bridal and party make-up. Typical 2026 neighbourhood rates run from around Rs 60 to Rs 150 for threading, Rs 500 to Rs 900 for a clean-up, Rs 800 to Rs 2,800 for a facial, Rs 900 to Rs 2,500 for full arms and legs waxing, and Rs 8,000 to Rs 18,000 for bridal make-up. Set your own prices from your costs and your locality, not from a national average.

Packages and memberships are working capital

Prepaid packages and memberships do three things at once: they lock in repeat visits, they fund your working capital up front, and they raise the average spend per customer. A four-service package that covers a quarter of visits, or a monthly membership that includes a set number of services, converts a one-off customer into a predictable revenue line. Keep the maths honest: price a package so that the per-service value you give is still comfortably above your product cost, and record the liability of unserved sessions so you do not spend money you still owe in services.

The break-even you must know by heart

Break-even is your fixed monthly cost divided by your contribution per customer. Take a small parlour with fixed costs of about Rs 1.1 lakh a month (staff, rent, utilities, marketing and a contingency) and an average ticket of Rs 650 at roughly 88% contribution. Break-even is about 193 billed customers a month, or roughly seven a day. Most small parlours cross that line between month three and month five and recover their full capital in fourteen to twenty-two months. Write your own break-even number on a card and stick it where you can see it every morning.

Home studio against small parlour

Line	Home studio	Small parlour
Setup cost	Rs 1.5 to 3 lakh	Rs 5 to 9 lakh
Monthly rent	None	Rs 20,000 to 60,000
Customers a day	6 to 10	10 to 20
Monthly revenue	Rs 60,000 to 1.5 lakh	Rs 1.5 to 3 lakh
Net margin	High, with no rent to carry	20 to 30%
Main limit	Space and walk-in footfall	Fixed costs if footfall does not follow

Average ticket and repeat rate are the two levers that matter most. Raising your average ticket by Rs 100, or getting each customer back one extra time a year, moves profit far more than cutting product cost ever will.

PART 3

Building the Business

7. Location, layout, fit-out and equipment

Once the catchment is right, the fit-out is where you either protect your margin or spend it. The rule is to spend on what the customer feels and what the business needs, and to save on everything else. Customers notice cleanliness, lighting, comfort and a calm reception. They do not notice imported tiles in a service room they spend ten minutes in.

Budget the fit-out in the right order

For a small parlour, a realistic setup budget breaks down roughly as follows: interiors, mirrors, flooring and electricals at Rs 2 to 4 lakh; equipment such as chairs, a facial bed, a steamer, a steriliser and tools at Rs 1.5 to 2.5 lakh; a security deposit of Rs 60,000 to Rs 1.5 lakh; opening inventory of Rs 50,000 to Rs 80,000; signage and launch marketing of Rs 40,000 to Rs 80,000; and working capital for four months of Rs 1 to 1.5 lakh. If you are fitting out 700 square feet for a studio salon, interiors alone commonly run Rs 8 to 14 lakh, with equipment at Rs 3 to 5 lakh.

Layout that protects your time and your hygiene

- Separate the wet area (wash basins, pedicure) from the dry area (cutting, styling, make-up) so water and hair do not travel into clean zones.
- Give every service station its own mirror, trolley and power point. A station without its own tools is a station that wastes five minutes per client.
- Keep a small, tidy reception with a visible rate card, a seat for waiting and a place to take payment. A clear rate card removes the most common source of awkwardness at billing.
- Plan storage for stock so it is off the floor and out of the service area. Pests, moisture and expiry are the enemies of beauty products.
- Make sure the washroom is spotless. Customers judge the whole salon by it, and it is the cheapest reputation you will ever buy.

Equipment: what to buy new and what to buy used

Buy electricals new: dryers, straighteners, steamers, high-frequency and galvanic units, and clippers. Second-hand electricals fail at the worst time and carry a safety risk. Chairs, trolleys, mirrors and storage can be bought used if the hydraulics and frames are sound, which can cut your equipment bill substantially. Indicative 2026 prices for new items: a styling chair with a hydraulic base Rs 7,000 to Rs 18,000, a backwash unit with a shampoo basin Rs 18,000 to Rs 45,000, a facial bed Rs 12,000 to Rs 30,000, a steamer with a high-frequency unit Rs 9,000 to Rs 25,000, a hot-towel cabinet and UV steriliser Rs 6,000 to Rs 14,000, and dryers, straighteners and clippers together Rs 35,000 to Rs 90,000. A simple billing or point-of-sale system with a customer database costs Rs 8,000 to Rs 25,000 a year and pays for itself the first time it reminds you to rebook a regular.

> *Do not open with an interior you cannot maintain. A modest, spotless, well-lit salon beats a fancy one that looks tired in six months. Put the money you save into working capital and staff training.*

8. Products, hygiene and staying compliant

In a service business that touches people's skin and hair, hygiene is not a nice-to-have; it is your product. A single infection or allergic reaction traced to your salon can end a reputation built over years. Compliance is also a legal matter, and the rules are manageable if you build them into your daily routine from day one.

The cosmetics rules that apply to you

Cosmetics in India are regulated under the Drugs and Cosmetics Act, 1940 and the Cosmetics Rules, 2020, administered by the Central Drugs Standard Control Organisation. If you sell or use cosmetic products, buy only from licensed, established suppliers, keep the invoice, and never decant a branded product into an unlabelled bottle. Check every product for a manufacturing or expiry date before it reaches a client, and dispose of anything past its date. Certain products also carry BIS standards, so prefer brands that display the standard mark.

A hygiene routine that is simple enough to keep

- Sterilise or disinfect every tool that touches a client between clients: scissors, combs, brushes, nail tools, tweezers, bowls.
- Use fresh disposables wherever the service allows: cotton, foils, waxing strips, gloves, razor blades. Never reuse a blade.
- Wax should never be double-dipped. Use a fresh spatula each time, and never return used wax to the pot.
- Patch-test colour, keratin and chemical services on every new client, and record the test date on their client card.
- Keep a hand sanitiser at every station and a covered bin for used disposables. Train the team to sanitise in front of the client; visible hygiene builds trust.

Health and safety, waste and staffing compliance

Keep a first-aid kit and a trained person on the floor. Display emergency numbers. Segregate waste, especially sharp items such as blades, into a separate closed container. If you employ staff, you are responsible for minimum wage, working hours and, where applicable, provident fund and ESI. Professional tax registration applies in many states once you have employees. For larger premises, a fire NOC may be required. These obligations are not optional, and getting them right is far cheaper than a penalty or a closure notice.

> *Write your hygiene and safety routine on a laminated sheet and put it in the staff room. A routine that is written down and visible gets followed; one that lives only in the owner's head does not survive a busy Saturday.*

9. Hire, train and keep a team that delivers

In a salon, the staff are the business. Customers return for the person who did their hair or skin, not for the signboard. That makes hiring, training and retention the most important operating decisions you will make, and the place where most small salons quietly leak profit and clients.

The team a small parlour actually needs

A three-chair parlour runs comfortably on two beauticians and one helper. A studio unisex salon needs one senior stylist or all-rounder who anchors quality and reviews, two to three beauticians or junior stylists, and one front-desk and housekeeping person who is often combined in smaller formats. Do not hire a manager before you have the revenue to justify one; an owner who works the floor sees everything a manager would report, and sees it sooner.

Role	Count in a 3-chair parlour	Indicative monthly salary
Senior beautician or all-rounder	1	Rs 20,000 to 35,000
Junior beautician	1 to 2	Rs 12,000 to 18,000
Helper or housekeeping	1	Rs 9,000 to 12,000
Front desk (often combined)	0 to 1	Rs 12,000 to 20,000

Pay that keeps good people

Indicative 2026 monthly salaries run from about Rs 12,000 to Rs 18,000 for a junior beautician, Rs 20,000 to Rs 35,000 for a senior beautician or hair stylist, and Rs 9,000 to Rs 12,000 for a helper. Pay a fixed base plus a modest incentive of 3 to 6% on the person's own billing. Pure commission encourages pushy selling, and customers notice it. Budget one month of salary as a training buffer before you open, because untrained staff on day one cost more in refunds and bad reviews than the training itself.

Training and certification that builds trust

The Beauty and Wellness Sector Skill Council is a recognised awarding body under the National Council for Vocational Education and Training, promoted by the Confederation of Indian Industry with support from the National Skill Development Corporation. It has enrolled over 25 lakh learners and certified more than 20 lakh. Its qualification packs include Beauty Therapist (510 notional hours, NSQF Level 4), Hair Dresser and Stylist, Nail Technician, Professional Makeup Artist and Cosmetologist. Having your team hold recognised certification reassures customers, improves loan approval and gives staff a reason to stay and grow. Courses are listed on the Skill India Digital Hub.

Retention: the real competitive advantage

Staff retention is the single biggest operating risk in this category. Losing a senior stylist usually means losing a share of your client book with them. Pay at or slightly above the local market, roster fairly so no one is stuck on every weekend, give a clear path to more skill and more pay, and never let one star stylist hold your client book hostage: keep client records in the business's system, not in a stylist's personal phone. When a senior person leaves, a documented client book lets you reassure their regulars and rebook them with someone else.

Your client database is a business asset. If it lives only in your staff's phones, it is not yours. Keep every client's name, contact, service history and preferences in a system the salon controls.

PART 4

Winning and Keeping Customers

10. Your first 100 customers

The first hundred customers are the hardest and the most valuable. They set your reviews, your reputation and your word-of-mouth, and most of them will come from within a short radius of your door. You do not need a large advertising budget for this stage; you need to be findable, trustworthy and generous with the first visit.

Be findable before you open

Create your Google Business Profile at least three weeks before you open, with your exact address, live opening hours, a booking link and at least twenty real photographs of the finished space and the team. Google is where most local customers search for a salon near them, and a complete profile with real photos and recent reviews outranks a paid ad for a new business. Set up a WhatsApp Business profile with your rate card as a catalogue so enquiries can be answered and closed without a phone call.

A launch offer that does not wreck your pricing

Run a single, time-boxed pre-launch offer, such as 30% off the first visit, and distribute it within a 1.5-kilometre radius: local apartment groups, office communities, nearby gyms and schools. Do not publish a permanent discount menu; it trains customers to wait for a sale and destroys your rate card. The offer exists to create the first visit and the first review, nothing more.

Reviews are your cheapest marketing

Ask every satisfied customer for a Google review at the moment of billing, while they are happy and still in front of you. Thirty honest reviews in the first month will do more for your bookings than any ad budget. Respond to every review, especially a critical one, politely and quickly; a calm, helpful reply to a bad review often persuades more readers than a page of five-star praise.

- Apartment and office tie-ups within 2 km: offer a small staff benefit in exchange for a listing in the community group.
- A referral reward for existing customers, given as a service credit rather than cash, keeps the reward inside the business.
- A soft opening for friends and family to test the systems, then a grand opening with the first-visit offer.
- A simple loyalty card: every fourth or fifth visit earns a free add-on service.

11. Marketing that compounds

Salon marketing works when it compounds: each rupee spent should make the next customer easier to win. That means building owned channels first, then paid. A salon that has a strong Google profile, a live WhatsApp catalogue, a regular Instagram presence and a real review base can grow for years on word of mouth alone.

The four channels that matter for a neighbourhood salon

Channel	What it does	Effort
Google Business Profile	Captures local search and drives calls and directions	Set up once, post photos monthly
WhatsApp Business	Answers enquiries, shares the rate card, sends reminders and offers	Daily; low effort, high return
Instagram	Shows before-and-after work and builds aspiration	Post three to four times a week

Channel	What it does	Effort
Referral and loyalty	Turns existing customers into new ones	Build into billing, not a campaign

Content that actually brings walk-ins

Post the work, not the slogans. Before-and-after photographs of real services, short videos of a transformation, customer testimonials and clear price posts outperform generic quotes and stock images. Tag your locality so people searching nearby find you. Keep the tone warm and specific: a post that says 'Bridal package for the November weddings, booked from Rs 12,000, two slots left' converts far better than a post that says 'We are the best salon in town'.

Paid promotion: spend last, spend locally

Only add paid promotion once your organic channels are working and you know your average ticket and repeat rate. When you do, spend locally: geo-targeted Instagram and Google ads within a few kilometres, and festival-timed boosts during Diwali and the wedding season. Track every rupee against bookings, not against likes. A marketing channel that cannot be measured against customers is a channel you should pause.

Consistency beats intensity. Three good posts a week for a year will out-perform a burst of daily posts for a month followed by silence.

12. Retention, rebooking and the client book

Acquiring a new customer costs far more than keeping one, and in a salon the whole economics depend on the repeat visit every four to six weeks. Retention is not a marketing campaign; it is an operating habit built into how you bill, how you follow up and how you record what each customer likes.

Rebook at the chair

The single highest-return habit in a salon is rebooking before the customer leaves. When a customer finishes a service, the person serving them should suggest the next appointment at the natural interval, say four to six weeks, and book it then and there. A customer who walks out without a next appointment is a customer you will have to win again from scratch.

Keep a client card for every customer

Record each customer's name, contact, service history, product preferences, allergies and any patch-test results. This lets you greet them by name, avoid repeating a service they disliked, and send a relevant reminder rather than a generic blast. It also protects the business when a staff member leaves: the relationship is with the salon, not only with the stylist.

Win back the lapsed customer

Every salon has customers who drift away. A simple win-back message, sent to anyone who has not visited in eight weeks, offering a small reason to return, recovers a meaningful share of them for almost no cost. Combine this with birthday and festival greetings, and with a membership or package that rewards regular visits, and your repeat rate becomes your most valuable asset.

- Reminder message two days before each appointment, and a same-day message for high-value bookings.
- Membership or prepaid package that rewards frequency rather than one-off spend.
- A win-back offer for anyone inactive for eight weeks.

- Birthday and festival greetings with a small, time-boxed benefit.

PART 5

Growth, Seasons and Money

13. The Indian season calendar and the bridal business

Salon demand in India is not flat through the year. It rises sharply around festivals and the wedding season and dips in the monsoon and the hottest weeks. An owner who plans for these swings earns far more from the same fixed costs than one who treats every month the same.

Plan the year around the peaks

Window	What drives demand	How to prepare
Aug to Nov (festive)	Raksha Bandhan, Ganesh Chaturthi, Navratri, Durga Puja, Diwali, Dhanteras	Add staff on call, stock colour and skin kits, sell festive packages early, raise capacity with longer hours
Nov to Feb (weddings)	The main wedding season across most of India	Block bridal slots months ahead, build a trial-and-booking process, partner with photographers and wedding planners
Mar to Jun (summer)	Heat and school holidays	Push hair smoothening, waxing, de-tan and cooling facials; offer early-morning slots
Jul to Sep (monsoon)	Humidity and travel	Focus on hair fall, scalp and anti-frizz services; keep footfall with packages

A month-by-month planner

Month	What is happening	What to do
Jan to Feb	Wedding peak	Fill bridal slots, sell family packages, keep capacity on call
Mar to May	Summer and school holidays	Push smoothening, waxing and de-tan; open early-morning slots
Jun	Heat peak, pre-monsoon	Sell packages to hold footfall as walk-ins dip
Jul to Sep	Monsoon	Focus on scalp, hair-fall and anti-frizz services
Oct	Navratri and festive build-up	Festive packages, longer hours, extra staff on call
Nov	Diwali and weddings	Peak pricing, pre-booked capacity, regulars get prime slots first
Dec	Weddings and year-end	Gift cards, memberships and New Year packages

The bridal business: high value, high discipline

Bridal make-up and the related packages are the highest-ticket services a neighbourhood salon sells, commonly Rs 8,000 to Rs 18,000 for make-up alone and far more for a full package with hair, mehendi and family members. Bridal work rewards discipline: take a booking with a deposit, do a paid trial, confirm the date and the number of people weeks in advance, and keep a written schedule for the wedding day. A single mismanaged bridal morning can cost you more in reputation than it earns. Build relationships with wedding photographers, event planners and jewellery and clothing stores; their referrals are worth more than any ad.

Use the festive surge deliberately

During the festive run-up, demand routinely outruns capacity and salons raise prices to match. Plan for it: schedule longer hours, bring in vetted on-call staff, pre-sell festive packages so you know your peak bookings in advance, and protect your regulars by giving them first access to prime slots. The money earned in a good festive and wedding season often decides whether the year as a whole is profitable.

> *Book festive and bridal capacity before the season starts, not during it. The customers you cannot serve in November are customers you will not see in December.*

14. Growing: services, retail, a second outlet and AI tools

Growth in a salon comes from raising the value of every customer and every chair, before it comes from adding space. There is a clear order in which to grow, and doing it out of order is how salons over-extend and fail.

Grow in this order

1. Raise your average ticket first: add higher-value services such as hair spa, colour and skin treatments to your existing menu and train staff to recommend them appropriately.
2. Add retail: selling the shampoo, serum or skin product you already use lifts your margin without using extra service time, and customers value the convenience. Retail products are taxed separately from your services, so keep them on a separate invoice line.
3. Increase chair utilisation: fill your quiet hours with targeted offers and appointments rather than by discounting your peak.
4. Only then consider a second outlet. A second salon doubles your fixed costs and depends on a manager you trust, so it should follow, not lead, a proven, profitable first outlet.

Use AI tools without losing the human touch

Affordable AI tools can handle the repetitive work that eats an owner's time: drafting Instagram captions and offer posts, writing WhatsApp replies and reminder messages, summarising customer feedback, and turning your service list into a tidy rate card. Use them for the words and the admin, never for the service itself. The warmth of a real person greeting a regular by name is the thing customers pay for; the AI is what buys you the time to provide it. Keep customer data inside tools you control, and never paste a client's personal details into a public AI service.

Revenue streams worth building

- Service revenue: your core, high-frequency and high-ticket services.
- Retail revenue: products you trust and can explain, sold on a separate invoice line.
- Packages and memberships: prepaid revenue that funds working capital and locks in visits.
- Bridal and occasion packages: the highest-value seasonal work, sold months ahead.
- Corporate and group tie-ups: bulk bookings from nearby offices, hostels and gyms.

15. Tax, records and money discipline

A salon can be busy every day and still run out of cash. Money discipline is what separates a salon that survives its first three years from one that does not, and it comes down to a few simple habits.

Keep the business and the household separate

Open a separate current account for the salon and pay yourself a fixed monthly amount. When business money and household money share one account, you cannot tell whether the salon is profitable, and you will spend the tax you owe before you realise it. From day one, pay all business expenses from the business account and record them.

Record every rupee, every day

Use a simple billing or point-of-sale system so that every service and retail sale is recorded, and reconcile cash and digital payments daily. Your GST returns, your income-tax return and your ability to raise a loan all depend on clean records. Under GST you must file your returns each period, and if you are under the composition scheme you file a quarterly statement. Keep purchase invoices, because even though you cannot claim credit on 5% services, you still need them for your accounts and your income-tax computation.

Watch four numbers every week

- Revenue and average ticket: is the top line growing and is each customer spending more?
- Occupancy: what share of your available service hours are actually billed?
- Repeat rate: what share of this month's customers were returning customers?
- Cash position: how many months of fixed cost do you hold in reserve? Aim for at least three.

Build a reserve and reinvest on purpose

Set aside a small percentage of every week's collection into a reserve, and put a defined share of profit back into the business each quarter: better tools, staff training, a fresh coat of paint, a stronger marketing push. A salon that reinvests on a plan grows steadily; one that reinvests only when something breaks spends in a panic and pays more.

> *Three months of fixed cost in reserve is not a luxury. It is what lets you turn away a bad discount, survive a slow monsoon and keep your best stylist when a competitor tries to poach them.*

PART 6

Tools and Checklists

16. The 60-day launch plan

A salon can go from a signed lease to opening day in about sixty days. The plan below runs the legal, financial and marketing work in parallel rather than in sequence, so nothing waits for anything else unnecessarily.

Days 1 to 15: lock the foundations

- Finalise the format and the catchment; confirm the space and sign the lease.
- Apply for GST, Udyam, the Shops and Establishments registration and the municipal trade licence.
- Open the business bank account and finalise your funding, whether own money, a Mudra or PMEGP loan, or a Stand-Up India loan.
- Draft your service menu and rate card from your own cost maths.

Days 16 to 40: build the space and the team

- Complete the interiors, electricals, plumbing and equipment installation.
- Hire the core team and start training; arrange or confirm beauty certifications.
- Set up your billing or point-of-sale system and your client-record process.
- Order opening inventory and set up the product storage and hygiene routine.

Days 41 to 52: become findable

- Publish your Google Business Profile with real photos, hours and a booking link.
- Set up WhatsApp Business with the rate card as a catalogue.
- Create the Instagram account and post your first before-and-after content.
- Prepare and distribute the single pre-launch offer within a 1.5-kilometre radius.

Days 53 to 60: open well

- Run a soft opening for friends and family to test the systems end to end.
- Fix anything the soft opening exposes, from billing to booking to hygiene.
- Hold a grand opening with the first-visit offer and a review request at billing.
- Start the daily habit of recording every sale and asking every happy customer for a review.

17. Checklists you will actually use

Setup checklist

- Format and budget fixed; catchment counted; lease signed with the terms you understand.
- GST, Udyam, Shops and Establishments and trade licence in progress or done.
- Funding confirmed; four months of working capital set aside.
- Interiors, equipment and billing system in place.
- Rate card drafted; hygiene and safety routine written and posted.
- Team hired, trained and certified where possible.

Opening-day checklist

- Clean, lit, cooled and ready thirty minutes before the first appointment.
- Every station stocked with sterile tools and fresh disposables.

- Rate card visible at reception; payment options working.
- Billing system open and tested; client cards ready.
- Review request ready to send at billing.

Weekly operations checklist

- Reconcile cash and digital collections against the billing system.
- Review occupancy, average ticket and repeat rate against last week.
- Check stock levels and expiry dates; reorder what is low.
- Post three to four pieces of content; reply to all messages and reviews.
- Confirm next week's appointments and send reminders.

Hygiene and safety checklist

- All tools sterilised between clients; blades and disposables never reused.
- Wax never double-dipped; fresh spatula per client.
- Patch tests done and recorded for colour, keratin and chemical services.
- First-aid kit stocked; sharp waste in a closed container.
- Washroom clean and stocked at all times.

18. Ten mistakes that sink new salons

Most new salons that fail make the same handful of mistakes. Each one is avoidable, and each one is cheaper to avoid than to fix.

1. Signing more square footage than the catchment can fill, so rent eats the margin.
2. Spending on interiors and skipping staff training and a billing system.
3. Discounting permanently instead of building a repeat and package base.
4. Opening without working capital, then borrowing at high interest in month three.
5. Choosing the shop before studying the catchment.
6. Hiring cheap, untrained staff and paying for it in refunds and bad reviews.
7. Keeping client records only in a stylist's personal phone, not in the business.
8. Never rebooking at the chair, then having to win the same customer again from scratch.
9. Ignoring hygiene until a complaint forces attention on it.
10. Skipping GST and record-keeping until a notice or a tax bill arrives.

19. Templates: project report, rate card, package sheet, incentive sheet

Banks and schemes ask for a project report, and a tidy one speeds up approval. These outlines are not forms to copy blindly; fill them with your own locality's numbers.

Project report outline

- Promoter and business: your name, the format, the location and the services.
- Market: catchment size, competitor count and what you will do differently.
- Project cost: interiors, equipment, deposit, inventory, signage, working capital.
- Means of finance: own contribution, bank loan, subsidy applied for.

- Revenue projection: customers per day, average ticket, working days, seasonal uplift.
- Operating cost: staff, rent, product, utilities, marketing, contingency.
- Profit and break-even: contribution margin, fixed cost, break-even customers per day.
- Repayment plan: EMI, moratorium and how the reserve covers slow months.

Rate card layout

Service	Rate (Rs)	Time (minutes)
Threading (eyebrow)	60 to 150	5 to 10
Clean-up	500 to 900	30 to 40
Facial	800 to 2,800	45 to 60
Full arms and legs waxing	900 to 2,500	30 to 45
Hair cut and blow-dry	250 to 800	30 to 45
Hair colour	1,200 to 5,000	60 to 120
Bridal make-up	8,000 to 18,000	120 to 180

Package sheet layout

- Package name and the services it includes.
- Number of sessions and the validity period.
- Package price and the per-session value the customer saves.
- Your product cost per session, so you know the package stays profitable.
- The unused-session liability you are carrying, tracked as a running total.

Staff incentive sheet layout

- Staff name, role and fixed monthly salary.
- Personal billing target for the month.
- Incentive rate (3 to 6% of personal billing) and the payout.
- Retail sales contribution, if you reward it.
- Attendance, punctuality and hygiene-compliance notes.

20. FAQs

How much money do I need to start a salon in India?

A home studio can start at about Rs 1.5 to 3 lakh. A small neighbourhood parlour usually needs Rs 5 to 9 lakh. A studio unisex salon typically needs Rs 15 to 30 lakh, and a premium full-format outlet Rs 25 lakh and above. These are indicative ranges; your actual cost depends on your city, your size and your fit-out choices.

Is a salon profitable in India?

A well-run small salon typically nets 20 to 30% on revenue, with product cost at only 10 to 14%, because customers return every four to six weeks. A fully staffed salon runs lower, often 15 to 20%. Profitability depends on location, average ticket, repeat rate and cost discipline, and no return is guaranteed.

Which government schemes can fund a salon?

PMEGP gives a margin-money subsidy on a new service unit up to Rs 20 lakh of project cost. Mudra loans give collateral-free credit up to Rs 20 lakh without a subsidy. Stand-Up India gives Rs 10 lakh to Rs 1 crore composite loans to women and SC or ST entrepreneurs. PM Vishwakarma covers barbers with training, a toolkit incentive and collateral-free loans up to Rs 3 lakh at 5% interest. CGTMSE-backed bank loans cover the rest.

Do I need a licence to open a salon?

You will typically need Udyam registration, GST once above the turnover threshold, a Shops and Establishments registration, a municipal trade licence, and professional tax registration once you employ staff. Larger premises may need a fire NOC. Rules vary by state and city, so confirm the exact list with your local authority.

What is the GST rate on salon services?

Since 22 September 2025, salon, barber, spa and grooming services attract 5% GST without input tax credit, and this rate is mandatory. Retail cosmetics such as make-up and perfume are taxed at 18%, while shampoo, soap and toothpaste are at 5%. Registration is compulsory above Rs 20 lakh turnover, or Rs 10 lakh in special-category states.

Can I start a salon from home?

Yes, and it is often the smartest way to start. A home studio in 100 to 200 square feet with no rent, one operator and six to ten customers a day can be run for Rs 1.5 to 3 lakh, and it builds the client book you can later transplant into a commercial space. Check that local rules permit commercial activity at your home address.

How long does it take to break even?

Most small parlours break even between month three and month five and recover their full capital in fourteen to twenty-two months, provided footfall and cost discipline hold. The first two months rarely cover their own costs, which is why four months of working capital is essential.

Do I need a beautician certification?

It is not legally mandatory for an owner, but recognised certification from a body such as the Beauty and Wellness Sector Skill Council reassures customers, improves loan approval and helps you hire and retain trained staff. Banks look more favourably on applicants who are trained.

How do I keep my staff from taking my clients?

Keep the client book in the business's own system, not in a stylist's personal phone, pay at or slightly above the local market, give a clear path to more skill and pay, and roster fairly. A documented client book lets you reassure regulars and rebook them if a staff member leaves.

What is the biggest mistake new salon owners make?

Over-building: too much square footage, too much interior and too little working capital. Choose the smallest format your catchment can support, keep rent under 12% of your revenue target, and hold four months of fixed cost in reserve before you open.

21. From one chair to a brand: a five-year view

Every salon that becomes a name in its city starts as one busy chair in one small room. What separates the ones that grow is not luck; it is a habit of doing the unglamorous things well, year after year, while quietly compounding three assets: a client book, a trained team and a reputation for reliability.

The three assets that compound

- The client book. Every name, contact and preference you record is an asset that grows with the salon. A book of 1,000 loyal customers who return every six weeks is worth more than any one-off advertising campaign.
- The team. Every person you train to a recognised standard raises the quality of the whole salon and lowers your dependence on any single star. A salon with depth can survive a departure; one built around one person cannot.
- The reputation. Consistent hygiene, honest pricing and warm service build a name that earns referrals without spending. It is the cheapest and most durable marketing there is.

A sensible five-year path

1. Year 1: get profitable in one format. Prove that your catchment, your pricing and your team can produce a steady monthly profit before you change anything.
2. Year 2: raise the average ticket and add retail. Train the team on higher-value services and sell the products you already use.
3. Year 3: strengthen the team and the brand. Certify more staff, document your service standards, and make your salon the obvious local choice.
4. Year 4: consider a second outlet, but only with a manager you trust and a first outlet that runs without you on the floor every day.
5. Year 5: decide whether you are building a chain, a training academy, a product line or a single excellent salon. Each is a good outcome; the mistake is drifting into one by accident.

What not to do as you grow

Do not open a second outlet to fix a problem in the first. A second salon multiplies whatever you already are: if the first is disciplined and profitable, the second compounds that; if the first is chaotic, the second doubles the chaos. Do not trade your rate card away for volume, and do not let a single competitor's discount campaign panic you into matching it. The salons that last are the ones that stay calm, keep their standards, and let their regulars do the selling.

> *The goal is not the biggest salon in town. It is the one customers trust enough to return to every month and to recommend to their friends. That trust, built deliberately, is the whole business.*

Sources and notes

This playbook draws on official and current published sources. Market-size and cost figures are the best available at the time of writing and are indicative, not guarantees; always confirm current rules, rates and scheme terms with the relevant authority or a professional before you act.

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